UNITED STATES OF AMERICA

BEFORE THE

FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	)))	Docket No. RM26-4-000

REPLY COMMENTS OF SOUTHERN CALIFORNIA EDISON COMPANY

I. INTRODUCTION

Pursuant to Rules 212 and 213 of the Federal Energy Regulatory Commission's ("FERC" or "Commission") Rules of Practice and Procedure,[1] Southern California Edison Company ("SCE") respectfully submits these Reply Comments in response to the Notice Inviting Comments and Advanced Notice of Proposed Rulemaking ("ANOPR") issued by the Federal Energy Regulatory Commission ("FERC" or "Commission") on October 27, 2025 and the Opening Comments submitted by various stakeholders on November 21, 2025.[2] SCE seeks to provide additional information that SCE believes will assist the Commission in its decision-making process.

II. REPLY COMMENTS

As evidenced by the wide range of concerns submitted thus far by stakeholders in this proceeding—comprising over one hundred unique sets of opening comments—the thematic principles outlined in the ANOPR are diverse, complex, technical, and contentious. Though

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[1] 18 C.F.R. §§ 385.212, 385.213 (2023).

[2] Notice Inviting Comments, *Interconnection of Large Loads to the Interstate Transmission Sys.*, Docket No. RM26-4-000 (filed Oct. 27, 2025).

there have been some areas of general consensus, for instance, that the 20 MW threshold suggested by the ANOPR is too low, other issues are highly contested. In particular, commentors and the Commission hold broadly divergent views on whether and to what extent the Commission has jurisdictional authority under the Federal Power Act ("FPA") to issue rules governing the interconnection of large loads to the transmission system. In California, the Public Utilities Commission ("CPUC") regulates the interconnection of retail (e.g., end-use) customers to SCE's system and FERC has not historically exercised authority in this area.[3] Regardless of size or service voltage connection to the grid, business or commercial end-use load has always been considered retail load in California.[4] Any Commission rule that intrudes on the states' authority to determine the terms and conditions of retail service—even retail service to large data center loads that arguably affect wholesale rates—would be problematic from a jurisdictional perspective. For instance, the ANOPR's eighth reform principle, which suggests a new federal standard for how transmission costs should be allocated to large load retail customers, risks directly intruding on retail ratemaking in jurisdictions that have retained bundled retail service.[5] SCE agrees with the CPUC and the Edison Electric Institute ("EEI") that there will be jurisdictional complexities involved in any Commission effort to regulate retail interconnections,[6] and believes that any rule must be carefully crafted to avoid, to the extent possible, any future jurisdictional challenges that will unnecessarily delay implementation.

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3 *See* Docket No. EL25-49-000, Order Instituting Proceeding Under Section 206 of the Federal Power Act at P 73 (February 20, 2025) ("PJM Order to Show Cause") (noting that the Commission "has not historically exercised jurisdiction over any and all transmission-level interconnections of retail load…").

4 *See* PJM Order to Show Cause at P 69 ("[U]nder the FPA, the states get to determine which entities are legally permitted to provide electricity to retail customers in co-location arrangements…irrespective of where the load interconnects (i.e., to the distribution system, the transmission system, or the generator itself).")

5 *New York v. FERC*, 535 U.S. 1 at 28 (2002) (recognizing the "great[] implications" of the Commission asserting jurisdiction over retail sales).

6 CPUC Opening Comments at 2-12; EEI Opening Comments at 4, 22, 32-34.

SCE recognizes the importance of developing timely, orderly, and non-discriminatory processes for interconnecting large loads, specifically data centers, to the transmission system. However, any final rule has the potential to significantly impact costs for existing utility customers nationwide at a time when many states—including California—are experiencing increasing affordability challenges. While data center growth has not escalated in SCE's area as dramatically as in other regions, data center interconnection requests have nonetheless increased. As SCE works to facilitate large load interconnections, it is critical to balance speed to interconnection with utility customer protections by ensuring that large load customers are responsible for the costs to facilitate their interconnection to the transmission system and their use of the transmission system. To that end, SCE agrees with other utility commenters that existing customers should not bear the interconnection costs for new large load customers, but that those costs may ultimately be rolled into rates (through credits/refunds) if the load is durable.[7] Protections should also be in place to ensure utility customers are not left carrying the costs of stranded or underutilized assets built to interconnect large loads. SCE agrees in large part with the general principles outlined by EEI in its comments on cost allocation.[8]

Like other commenters, SCE also has concerns about the potential reliability and resource adequacy challenges that may emerge from the interconnection of large loads without sufficient resource planning. California's Resource Adequacy and Integrated Resource Planning processes, under the jurisdiction of the CPUC, and the California Independent System Operator's ("CAISO") Transmission Planning Process currently work together to ensure sufficient generation resources are procured and transmission capacity is built to support the forecasted load growth. Given the potential size of large data centers seeking to interconnect, it is critical that proactive reliability studies and integrated planning are thoroughly executed to ensure there is sufficient generation capacity to serve large loads upon interconnection. As other commenters

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7 *See, e.g.,* Pacific Gas and Electric Company ("PG&E") Opening Comments at 2; Southern Companies Opening Comments at 9-10; Duke Energy Corporation Opening Comments at 22.

8 EEI Opening Comments at 15-17.

have noted, the Commission should recognize and support the need for this type of proactive planning while ensuring that any future Commission rule does not conflict with existing state reliability planning processes,[9] and should give deference to the established processes governed by the state regulators.

Though SCE appreciates the work that has been done to articulate the fourteen principles in the ANOPR, the complex issues presented merit careful consideration in order to ensure that any final rule is fair, defensible, and durable, and that differences between different regions and states are adequately accounted for. If the Commission is considering drafting a rule, SCE urges the Commission to first issue a Notice of Proposed Rulemaking ("NOPR") rather than proceeding to a final rule based solely on the high-level principles outlined in the ANOPR and the necessarily high-level comments provided in response. A NOPR should include actual draft procedures and agreements, which would allow stakeholders to provide more specific input. Issuing a NOPR would help to ensure the complex issues raised in the ANOPR are adequately studied prior to the issuance of any final rule. Any NOPR should also be narrowly tailored to avoid, to the extent possible, the jurisdictional concerns many commenters have raised.

The proposals in the ANOPR are similar to the large-scale reforms that FERC proposed and implemented when it standardized large generator agreements and procedures in Order No. 2003. In that proceeding, the Commission collaborated with EEI for model interconnection procedures and an agreement, then held public meetings and issued an ANOPR. The Commission took six months to review comments to the ANOPR, comments to the public meetings, and the model interconnection agreements before publishing a NOPR that included the proposed pro forma interconnection agreement and procedures for comment. This allowed impacted entities (generators, utilities and ISOs/RTOs) to review the actual language they would be required to follow and comment on the substantive technical, procedural, and legal issues that the language would impose. After the NOPR comments were received, the Commission again

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[9] *See* CPUC Opening Comments at 2; EEI Opening Comments at 2-5.

held technical conferences prior to issuing the final rule. This path took slightly less than two years to accomplish, but what resulted was an enduring framework of processes and procedures to interconnect wholesale generation to the transmission system. While there have been legal challenges, regional changes, and modifications to Order No. 2003 in the twenty-two years since it was approved, the framework set forth in that rule continues to this day.

SCE appreciates the Commission's imperative to move quickly to streamline the interconnection of large loads to transmission systems, but urges the Commission to deliberatively balance a complex and major rulemaking alongside the Commission's need for a timely decision. Should the Commission seek to take further action, publishing a full proposed rulemaking that includes a pro forma agreement and procedures and allowing full comment on firm proposals, including through working groups and technical conferences, will allow more robust input from all stakeholders. Following this standard process will ensure that the Commission sees all the opportunities and pitfalls associated with creating a national standard for interconnection of large loads.

III. CONCLUSION

SCE appreciates the opportunity to provide these Reply Comments to the Commission. SCE respectfully requests that the Commission consider the foregoing comments in its Order.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have served this day the foregoing REPLY COMMENTS OF SOUTHERN CALIFORNIA EDISON COMPANY upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Upland, California, this 5th day of December 2025.

/s/ Leslie Trujillo

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